INDEPENDENT HIGH SCHOOL RESEARCH PROJECT

Learning from the Stock Market

What really moves stock prices, and what can honest research and reflection teach me about making better decisions?

By Ritvik

My introduction to financial markets didn't begin in a classroom. It began through conversations with my father, who would explain how stock markets work and why prices change. What first looked like a world of numbers soon became a puzzle: why could a company's share price fall despite strong results, and why might investors react differently to the same economic news? I came to see that understanding markets meant understanding **expectations, incentives and human behaviour**, not just following prices. Curiosity turned into exploration, and I started small. Instead of trading myself, I researched companies and shared my analysis with my dad as input for his own investment decisions. To organise this, I built an **Excel evaluation tracker** to follow market trends, record outcomes and look for patterns. Along the way I became interested in how expectations about future growth, interest rates and uncertainty shape valuations. Most importantly, I learned to **question what the numbers appeared to suggest** rather than accepting them at face value.

42
companies tracked across 5 sectors, plus a watchlist of 103

19
trades my dad made using my analysis, plus 4 other holdings

13.4%
typical pick return, vs 12.7% for the Nifty 50 over the same 6 months

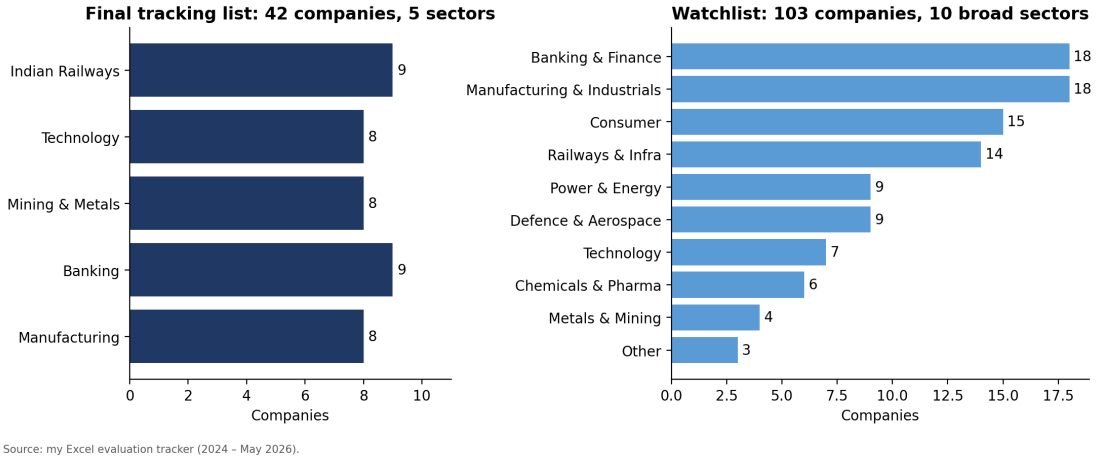
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outcomes made money for the wrong reason

What I set out to research

I wanted to understand what really moves stock prices, and to learn from real outcomes rather than from theory alone. My goal was never to beat the market. It was to become a more careful, more honest analyst, so that the inputs I gave my dad were better reasoned each time. The question I kept coming back to was: **when a stock went up or down, was it because my reasoning was right, or because of something else?**

How I did it

Step	What I did
1. Choose	Built a focused list of **42 companies across 5 sectors** (Railways, Technology, Mining & Metals, Banking, Manufacturing), with a wider **watchlist of 103** for future ideas.
2. Track	Recorded each stock's price and 52-week high and low in my Excel evaluation tracker. I used the midpoint of that range as a simple "fair price" marker to judge whether a stock looked cheap or expensive compared with its recent past.
3. Advise	Shared my analysis with my dad. Over about six months in 2024 he made 19 trades using my inputs, and I recorded each buy price, sell price and sale date.
4. Compare	Measured each trade's return and used the **Nifty 50**, India's main market index, as a yardstick for how the market as a whole moved.
5. Reflect	Looked back at every outcome to work out what actually moved the price, and what I would suggest differently next time.



Source: my Excel evaluation tracker (2024 – May 2026).

The companies I tracked: a focused list of 42 across five sectors, and a broader watchlist across ten.

How I evaluated the results

I used two lenses: one about **money** and one about **reasoning**.

1. How did it compare with the market? I compared each trade's return with the Nifty 50 over the same period. I looked at both the *typical* trade (the median) and the return on *all* the money invested, because a large position counts more in the second measure.

2. Was the idea right? For every outcome, I wrote down the original idea, what actually happened, and the main reason the price moved (company results, sector trend, company news, valuation, the wider economy, or hype). Then I placed each outcome in one of four boxes:

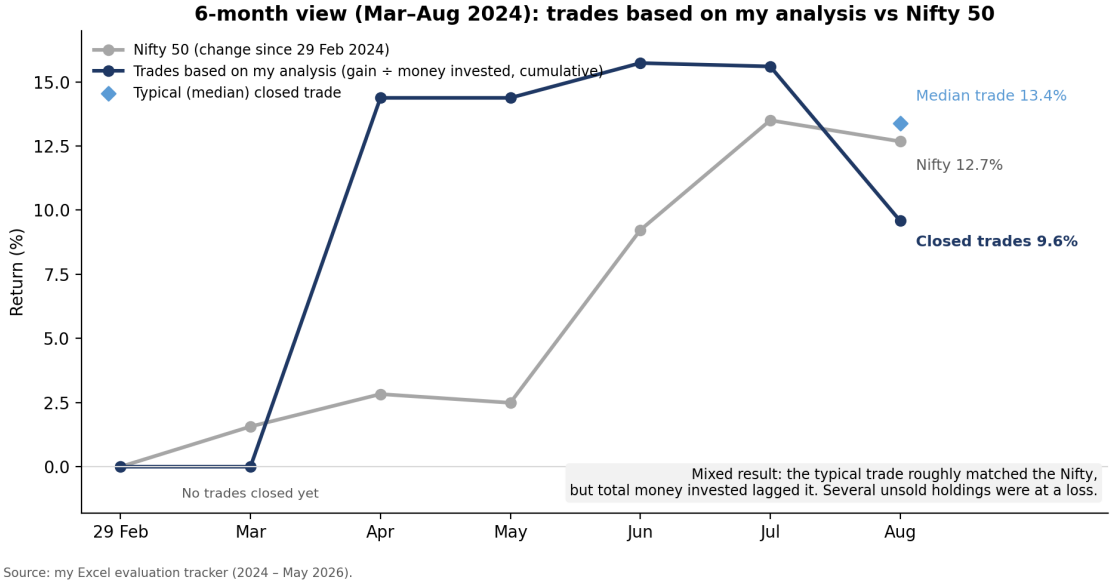
	Good result	Weak result
Idea was right	**A** – the research worked	**B** – right idea, but timing or other forces hurt
Idea was wrong	**C** – made money, but for the wrong reason	**D** – a real research mistake

This stopped me from confusing "we made money" with "my analysis was good".

What I found

Insight 1: close to the market, but the money told a different story

The typical trade returned 13.4%, close to the Nifty 50's 12.7% over the same six months. But the return on all the money invested was 9.6%, behind the market.

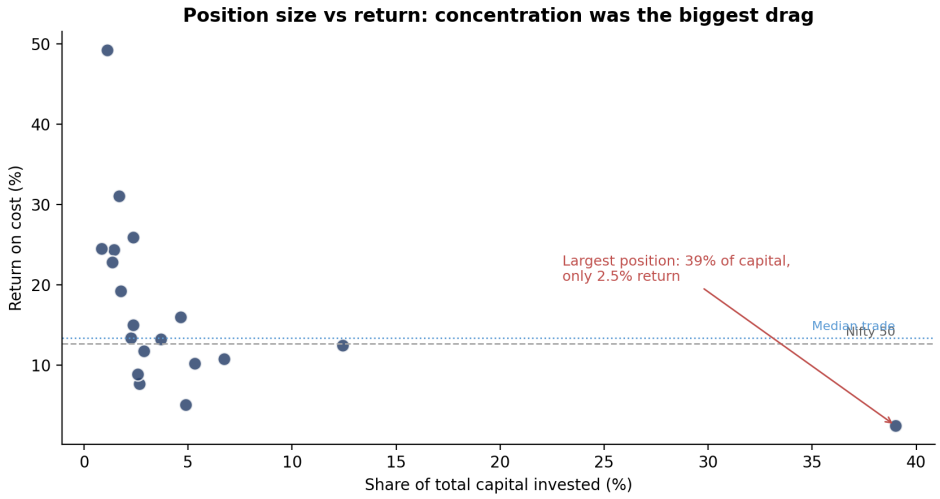


Source: my Excel evaluation tracker (2024 – May 2026).

Trades based on my analysis compared with the Nifty 50 over six months in 2024.

Insight 2: one big position held everything back

Most trades used a small share of the money, but one stock took 39% of it and returned only 2.5%. Without that one position, the overall return would have been about 14%. Owning 19 stocks looked diversified, but the money was not.

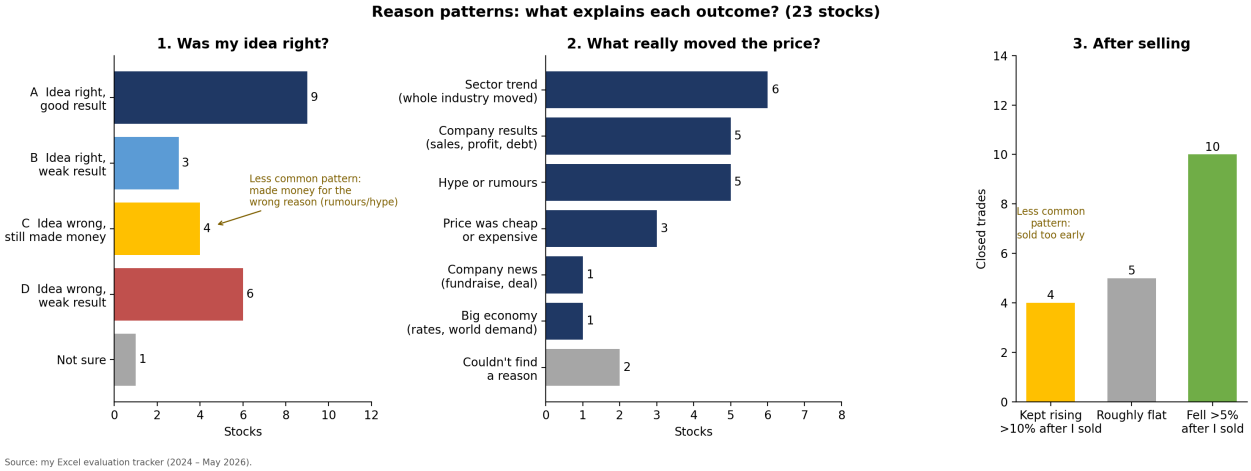


Source: my Excel evaluation tracker (2024 – May 2026).

Each dot is one trade: how much of the money it used, against its return.

Insight 3: making money and being right are not the same

Nine outcomes were "A": the idea was right and it paid off. But four were "C": the stock rose because of rumours or hype, not my reasoning, and those trades earned about as much on average (21.0%) as the right-reason wins (20.7%). Six were real mistakes, including a loss on Lucid, a U.S. electric-vehicle company. I also noticed that four stocks kept rising strongly after they were sold.



What explained each outcome: was the idea right, what really moved the price, and what happened after selling.

My learnings

These are my working hypotheses from looking back at the results:

1. Diversify the money, not just the number of stocks. Keep any single stock to a small share (around 10%) of the portfolio, and spread across sectors, so one mistake cannot sink everything.

2. Set a stop-loss before buying. Decide in advance the price at which to sell or re-check a falling stock (for example 15% below the buying price), instead of hoping it comes back. Some holdings kept falling with no plan to act.

3. Plan the exit, not just the entry. Set a target price and a review date when buying. Several stocks rose a lot after they were sold, and others fell sharply afterwards; a plan makes this less of a guess.

4. A profit does not prove the research was right. Ask why a stock moved. Gains from rumours or hype do not repeat reliably.

5. Watch the whole sector, not just the company. Sector trends drove more of the results than any other single reason; whole groups of government-owned banks, power and railway stocks rose together.

6. Write the idea down before buying. A written reason makes it possible to judge honestly afterwards, and protects against remembering being more right than I was.

Turning my learnings into a simple formula

To make my inputs to my dad more consistent, I turned these learnings into a simple checklist score and a few rules that go into my Excel evaluation tracker. It does not predict the future exactly; it helps decide **which ideas deserve attention, how much to put in, and when to act**.

Step 1: Idea Score (out of 10)

Check	Points	Learning behind it
I wrote a clear reason, backed by company results	0–3	Write the idea down; profit is not proof
The sector trend is supportive	0–2	Watch the whole sector
Price is below its mid-range marker (2), near it (1), or well above (0)	0–2	Cheap prices tended to move back toward the middle
The story is not driven by rumours or hype	0–2	Hype gains do not repeat
A target price and review date are set	0–1	Plan the exit

Step 2: The rules

Expected upside = (Mid-range marker − Current price) ÷ Current price
Position size = (Idea Score ÷ 10) × 10% of the portfolio
Stop-loss = Buying price × 0.85 (sell or re-check if it falls 15%)
Decision: Score 7 or more → suggest to my dad; 4 to 6 → keep on the watchlist; 3 or less → skip

Example. A stock trades at 80, with a 52-week high of 120 and low of 60. Its mid-range marker is (120 + 60) ÷ 2 = 90, so the expected upside is (90 − 80) ÷ 80 = **12.5%**. If it scores 8 out of 10, I would suggest putting in **8%** of the portfolio, with a stop-loss at 80 × 0.85 = **68** and a review date six months out. My next step is to track how well this score sorts good ideas from weak ones over the coming trades.

The big takeaway

Investing well is less about finding one winning stock and more about good habits: spreading risk, planning exits, and being honest about whether a win came from skill or luck. What started as conversations with my dad became a way of thinking: look past the numbers, ask why, and learn from every outcome.

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